Big 4 Auditors and Log Magnitudes of Unwarned Failures

Big 4: Firm and Industry × Year FE

	Log(1 + Restatement Amount) (1)	Log(1 + Restated Years) (2)	Log(1 + Violation Amount) (3)	Log(1 + Violation Years) (4)
Big 4	-0.014	-0.006	-0.124**	-0.029***
	(0.017)	(0.009)	(0.059)	(0.010)
Observations	70,197	70,197	70,197	70,197

Switch into Big 4

	Log(1 + Restatement Amount) (1)	Log(1 + Restated Years) (2)	Log(1 + Violation Amount) (3)	Log(1 + Violation Years) (4)
Switch into Big 4	-0.014	-0.012	-0.081	-0.031**
	(0.019)	(0.016)	(0.087)	(0.015)
Observations	63,674	63,674	63,674	63,674
Treated firms	202	202	202	202
Control firms	4,990	4,990	4,990	4,990

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.